25901836 Scheme for Valuation

MAHATMA GANDHI UNIVERSITY, KOTTAYAM Second SEMESTER

Minor Pathway Courses (MPC) - MG2MPCBFC100 - FINANCIAL SERVICES

(2025 ADMISSION ONWARDS)

Duration: 2 hours Maximum Marks: 70

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Very Short Answers. Answer any 10 questions. Each question carries 1 marks

1. **Describe the importance of financial services. [U] / [CO1, CO2]**

Financial services promote economic growth by mobilizing savings and allocating funds to productive sectors. They also provide liquidity, risk management, and support for trade and investment activities.

2. **Explain Mortgage Backed Securitisation. [U] / [CO3]**

Mortgage Backed Securitisation is the process of converting mortgage loans into marketable securities. Investors receive returns from the repayment of the underlying housing loans.

3. **Who is Lessor? [An] / [CO4]**

A lessor is the owner of an asset who grants the right to use the asset to another party under a lease agreement. The lessor receives lease rentals in return.

4. **Identify one service provided by a depository. [E] / [CO5]**

A depository provides dematerialisation services by converting physical securities into electronic form. This ensures safe and convenient holding of securities.

5. **Describe post issue activities. [U] / [CO1, CO2]**

Post issue activities are the functions carried out after the issue of securities to investors. These include allotment of shares, refund of excess application money, and listing of securities on stock exchanges.

6. **Indicate MBI. [U] / [CO3]**

MBI stands for Merchant Banking Institute. It refers to institutions involved in providing merchant banking and financial advisory services.

7. **Mention any 3 forms of leasing. [An] / [CO4]**

Three forms of leasing are financial lease, operating lease, and sale and lease back. These differ based on ownership, duration, and risk bearing.

8. **Expand NSDL. [E] / [CO5]**

NSDL stands for National Securities Depository Limited. It is India’s first electronic securities depository.

9. **Mention one financial factor considered in credit rating. [E] / [CO5]**

Profitability is one important financial factor considered in credit rating. It indicates the earning capacity and repayment ability of a company.

10. **Explain the meaning of financial services. [U] / [CO1, CO2]**

Financial services refer to services offered by financial institutions related to investment, banking, insurance, and fund management. These services facilitate financial transactions and capital formation.

11. **Indicate SIDBI. [U] / [CO1, CO2]**

SIDBI stands for Small Industries Development Bank of India. It is a financial institution established to support and finance small-scale industries.

12. **State one difference between issue rating and issuer rating. [E] / [CO5]**

Issue rating evaluates the credit risk of a specific financial instrument such as debentures or bonds. Issuer rating assesses the overall creditworthiness of the issuing organization.

Part B

Short Essay Question. Answer any 6 questions. Each question carries 5 marks

13. Distinguish between Recourse and Non-Recourse Factoring. [An] / [CO4]

In recourse factoring, the factor has the right to recover unpaid debts from the client if customers fail to pay. In non-recourse factoring, the factor bears the risk of bad debts and cannot recover losses from the client. Recourse factoring generally involves lower commission charges because the risk is retained by the client. Non-recourse factoring is more expensive due to higher risk assumed by the factor. Thus, the major difference lies in the responsibility for credit risk.

14. Describe the different types of stock brokers and their services. [E] / [CO5]

Stock brokers are intermediaries who help investors buy and sell securities in the stock market. Full-service brokers provide investment advice, portfolio management, research reports, and trading facilities. Discount brokers mainly offer online trading services at lower brokerage charges without advisory services. Jobbers trade securities on their own account to maintain market liquidity. Sub-brokers act as agents of main brokers and assist investors in trading activities.

15. Describe the merits of factoring. [An] / [CO4]

Factoring improves the liquidity position of a business by providing immediate cash against receivables. It reduces the burden of collection and credit administration on the company. Factoring also helps businesses manage bad debt risks and maintain stable cash flows. Small and medium enterprises benefit greatly as it improves working capital efficiency. Additionally, factoring allows firms to concentrate more on production and marketing activities.

16. Explain the fund based financial services. [U] / [CO1, CO2]

Fund based financial services involve the provision of finance by financial institutions using their own funds. These services include loans, advances, leasing, hire purchase, venture capital, and bill discounting. Financial institutions earn income through interest, lease rentals, or dividends from these activities. Such services help businesses meet long-term and short-term financial requirements. They play a major role in industrial development and capital formation.

17. Explain securitisation of debt. [U] / [CO3]

Securitisation of debt is the process of converting illiquid financial assets such as loans and receivables into marketable securities. Financial institutions pool together debts and transfer them to a Special Purpose Vehicle (SPV). The SPV issues securities to investors backed by the underlying assets. Investors receive returns from the cash flows generated by the debts. Securitisation improves liquidity and helps financial institutions reduce risk exposure.

18. Distinguish between factoring and forfaiting. [An] / [CO4]

Factoring mainly deals with short-term receivables arising from domestic trade, whereas forfaiting is used for medium-term and long-term export receivables. In factoring, the factor may or may not assume bad debt risk depending on the agreement. In forfaiting, the forfaiter usually purchases receivables on a non-recourse basis. Factoring involves continuous financing arrangements, while forfaiting is generally related to a single export transaction. Furthermore, forfaiting is mainly used in international trade finance.

19. Distinguish between Financial System and Financial Services. [U] / [CO1]

The financial system refers to the overall framework consisting of financial institutions, markets, instruments, and regulations that facilitate the flow of funds in an economy. Financial services are the specific services provided by financial institutions within the financial system. The financial system provides the structure, whereas financial services provide operational activities like banking, insurance, leasing, and investment management. Financial services are

a component of the broader financial system. Thus, the financial system is comprehensive in nature while financial services are functional activities.

20. Explain Investment Nurturing. [U] / [CO3]

Investment nurturing refers to the guidance and support provided to investors for making sound investment decisions. It includes advisory services, portfolio management, risk assessment, and financial planning. Financial institutions and merchant bankers help investors identify suitable investment opportunities. Investment nurturing also aims at increasing investor confidence and awareness. It contributes to better allocation of savings and promotes capital market development.

Part C

Essay Questions. Answer any 2 questions. Each question carries 15 marks

21. Describe the objectives and provisions of SARFAESI Act. [U] / [CO3]

The SARFAESI Act stands for the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002. The Act was enacted to help banks and financial institutions recover non-performing assets (NPAs) without the intervention of courts. One of the main objectives of the Act is to strengthen the financial sector by improving the recovery mechanism of defaulted loans. It empowers secured creditors to seize and sell secured assets of borrowers in case of default. The Act also facilitates securitisation and reconstruction of financial assets. Under the Act, Asset Reconstruction Companies (ARCs) can acquire bad loans from banks and manage recovery. The Act provides powers to banks to take possession of collateral securities after giving proper notice to borrowers. Borrowers are generally given 60 days' notice to repay outstanding dues before action is initiated. SARFAESI also allows banks to appoint managers for managing secured assets. The Act improves liquidity and reduces the burden of bad debts on financial institutions. However, agricultural land is excluded from the provisions of the Act. Overall, the SARFAESI Act plays a major role in strengthening credit discipline and improving banking efficiency in India.

22. Illustrate venture capital firms in India. [U] / [CO3]

Venture capital firms are financial institutions that provide funds to new and innovative business ventures with high growth potential. These firms mainly invest in start-ups and technology-oriented businesses that may not have access to traditional bank finance. Venture capital financing is usually provided in exchange for equity participation in the business. In India, venture capital has grown significantly with the expansion of the startup ecosystem. ICICI Venture is one of the leading venture capital firms in India that supports growth-oriented businesses. Sequoia Capital India has invested in many successful Indian startups in technology and e-commerce sectors. Accel India is another major venture capital firm focusing on innovative and scalable enterprises. Kalaari Capital supports early-stage startups in India across various industries. Venture capital firms not only provide finance but also offer managerial guidance and strategic support. They help entrepreneurs in product development, marketing, and business expansion. Venture capital financing promotes innovation, employment generation, and industrial development. Thus, venture capital firms play a vital role in fostering entrepreneurship and economic growth in India.

23. Analyse the advantages and limitations of leasing in comparison with hire purchase. [An] / [CO4]

Leasing and hire purchase are two important methods of asset financing used by businesses. In leasing, the ownership of the asset remains with the lessor, whereas in hire purchase ownership is transferred to the hirer after the final payment. One major advantage of leasing is that it requires less initial investment compared to hire purchase. Leasing provides flexibility as the lessee can upgrade assets easily after the lease period. Lease rentals are generally treated as business expenses and may provide tax benefits. Leasing also reduces the risk of obsolescence because ownership remains with the lessor. However, leasing does not provide ownership rights to the user of the asset. In hire purchase, the buyer gradually acquires ownership of the asset through installment payments. Hire purchase is beneficial for businesses that want permanent ownership of the asset. However, it usually requires higher down payments and involves higher financial commitment. Leasing may become more expensive in the long run if lease rentals exceed the value of ownership. Therefore, both leasing and hire purchase have distinct advantages and limitations depending on the financial needs and objectives of the business.

24. Explain the functions of merchant banks. [U] / [CO1, CO2]

Merchant banks are specialized financial institutions that provide financial advisory and investment services to businesses and governments. One important function of merchant banks is issue management, which includes managing public issues of shares and debentures. They assist companies in preparing prospectuses, obtaining regulatory approvals, and marketing securities to investors. Merchant banks also provide underwriting services by guaranteeing the subscription of securities issues. They offer corporate advisory services related to mergers, acquisitions, restructuring, and diversification. Portfolio management services are provided to help investors manage their investments effectively. Merchant banks assist in loan syndication by arranging large loans from multiple financial institutions. They also provide project counseling and feasibility studies for new business ventures. Merchant banks help companies in raising foreign capital and managing international financial transactions. Advisory services related to capital structure and investment decisions are another important function. They contribute to the development of capital markets by promoting efficient allocation of financial resources. Thus, merchant banks play a significant role in financial management and industrial growth.